



The Hartford Chairman, President and CEO Ramani Ayer speaking at the opening of New York employees' new permanent offices in early November. Despite the destruction of their offices at 7 World Trade Center on Sept. 11, The Hartford's New York employees had their businesses back in operation by Sept. 17. Employees moved into their new permanent offices less than 60 days after the attack.

our proven approach to asset management despite the stock market's vagaries. It means growing our business profitably, maintaining financial discipline, controlling expenses and providing extraordinary service to distributors and customers.

We take the last point very seriously, as evidenced by our earning a sixth consecutive DALBAR Annuity Service Award in 2001. DALBAR also awarded us the Intermediary Service Award and the first-ever Life Insurance Service Award.

As you'll read throughout this report, service means very specific—and very important—things to us. We strive to forge strong partnerships with our distributors and provide them with technological tools and outstanding products to enhance their selling efforts. These are some of the underpinnings to our solid 2001 results.

Despite the challenges I've mentioned, our revenues for 2001 rose 3 percent to \$15.1 billion. Total assets under management rose 8 percent to \$198 billion. Operating income rose 7 percent to \$1.034 billion, or \$4.28 per diluted share, excluding the \$440 million impact of Sept. 11 (after tax and net of reinsurance) and a \$130 million tax benefit in our life operations.

The results attest to the resilience of our enterprise. With our strong and balanced portfolio of businesses, we consistently demonstrate superior financial performance. Since 1995, we've produced 13 percent annualized operating earnings-per-share growth, excluding the effects of Sept. 11 and the tax benefit in 2001, and 13 percent annualized growth in assets under management. Excluding the effect of Sept. 11 and the tax benefit, operating return on equity has met or exceeded our 13 to 15 percent target every year for the past five years.